

AA015
Accounting 1
Semester 1
Session 2022/2023
2 hours



KOLEJ MATRIKULASI SELANGOR

TIME YOURSELF

2 HOURS

DO NOT OPEN THIS QUESTION PAPER UNTIL YOU ARE TOLD TO DO SO.

Name

No. Matrik

Tutorial

Lecturer's Name

This question paper consists of 8 printed pages

AA015

Accounting 1

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INSTRUCTIONS TO CANDIDATE:

This question paper consists of 4 Question only.

Answer all questions.

Show the calculation.

Answer for each question should be written in the answer booklet provided. Use new page for each question.

The use of non-programmable scientific calculator is permitted.

QUESTION 1 [20 marks]

- (a) Illustrated below is the Bank Statement and Cash Book (bank column) of Sutera Enterprise for the month of March 2020.

BANK STATEMENT

Date 2020	Particulars	Debit (RM)	Credit (RM)	Balance (RM)
March 1	Balance			13,750
9	551102	120		13,630
17	551104	210		13,420
23	Cheque		240	13,660
27	Hana: Credit Transfer		1,100	14,760
30	Media Corp.: Standing Order	45		14,715
31	Bank Service Charges	30		14,685

Additional information:

1. All entries in the bank statement are correct.
2. A cheque of RM2,300 from Hasan was returned to Sutera Enterprise with a non-sufficient fund notification.
3. A cheque of RM240 from Annie deposited on 23rd March was wrongly recorded as RM420 in the cash book.

CASH BOOK (bank column)

Date	Particulars	RM	Date	Particulars	Cheque No.	RM
2020 March 1	Balance b/f	13,750	2020 March 7	Bob Co.	551102	120
17	Hasan	2,300	10	Jaya Enterprise	551103	320
20	Annie	420	15	Purchases	551104	210
25	Jamil	1,200	30	Marwan Enterprise	551105	470
31	Abdullah	1,800	31	Balance c/f		18,350
		19,470				19,470

Required:

- (i) Prepare a Bank Reconciliation Statement for Sutera Enterprise as at 31st March 2020.

[7 marks]

- (ii) Show journal entries for the adjustment on Cash Book (bank column) of Sutera Enterprise after the reconciliation (omit explanation).

[3½ marks]

- (b) Below is the information related to Account Receivable and Allowance for Doubtful Accounts of Luna Enterprise on 31st July 2020.

Account	RM
Account Receivable	210,000
Allowance for Doubtful Account	4,200

Below are the transactions of Luna Enterprise during August 2020.

1. Cash sales is RM220,000 and credit sales is RM140,000.
2. Shukri a debtor has gone missing. His debts amounted to RM750.
3. A debtor, Jana whose debts was already written-off few years ago appeared and paid her debts RM1,200.

Required:

- (i) Prepare journal entries to record the transactions during August 2020 using allowance method (omit explanation)
[4½ marks]
- (ii) Prepare Allowance for Doubtful Account based on the above journal entries (i). Allowance for doubtful account is estimated to be 2% on ending balance of Accounts Receivable.
[4 marks]
- (iii) Prepare the adjustment entry to record the allowance for doubtful account on 31st August 2020 (omit explanation).
[1 mark]

QUESTION 2 [20 marks]

- (a) Following are the transactions of Jasa Tech Enterprise for the month of June 2020.

June 7	Purchased merchandise from Barokah Enterprise for RM10,000, terms 2/10, n/30.
10	Returned defected merchandise to Barokah Enterprise RM200.
20	Cash sales RM2,500. The cost of the sales was RM1,900.

Required:

Record the above transactions in general journal using perpetual inventory system (omit explanation).

[4 marks]

- (b) Moda Enterprise has the following inventory, purchases, and sales data for September 2020. The beginning inventory is 100 units at RM11.00 per unit. Sales price per unit is RM18.50.

Date	Transaction	Units	Cost Per Unit (RM)
Sept 3	Purchases	200	10.80
6	Sales	220	
10	Purchases	160	10.60
11	Purchases	140	10.20
18	Sales	200	
23	Purchases	175	10.00
27	Sales	100	
30	Sales	50	

Required:

Using First-In, First-Out (FIFO) method and periodic inventory system, calculate:

- (i) Inventory in units on 30th September 2020. [5 marks]
- (ii) Ending inventory in RM on 30th September 2020. [2½ marks]
- (iii) Cost of goods sold for the month of September 2020. [6½ marks]
- (iv) Gross profit for the moth of September 2020. [2 marks]

QUESTION 3 [20 marks]

D'Aman Sdn Bhd. has two machines. The machines' depreciation are calculated using straight-line method.

Machine	Date purchased	Purchased cost (RM)	Salvage value (RM)	Useful life	Rate (%)
A	1 st March 2017	7,400	1,400	6 years	-
B	1 st October 2019	8,000	2,000	10 years	10

D' Aman Sdn Bhd. also has two equipments. Equipments are depreciated using the reducing balance method.

Equipment	Date purchased	Purchase cost (RM)	Rate (5%)
C	15 th July 2017	10,000	10
D	30 th December 2018	2,000	10

The financial period ends on 31st December each year.

Required:

(a) Prepare journal entries to record (omit explanation):

- (i) Total machine's depreciation expense for 2019, if it is calculated on monthly basis.

[5½ marks]

- (ii) Total equipment's depreciation expense for 2019, if it is calculated on yearly basis.

[9 marks]

(b) Show equipment's depreciation expense account and accumulated depreciation account for the year 2019.

[5½ marks]

QUESTION 4 [25 marks]

(a) As of 31st December 2021, the liability position of Citra Kasih Sdn Bhd. is as follows:

Account Payable	RM 202,500
Sales tax Payable	RM 41,000
Unearned Revenue	RM 50,000

Below are the transactions involving liabilities during the year 2021:

Jan 1	Issuance of 8% 5-years bonds payable of RM500,000. Interest payments on these bonds are due on 1 st January every year starting from 1 st January 2022.
Feb 15	Selling goods in cash RM63,000 including 5% sales tax.
March 10	Performed service of RM35,000 to a customer who has made prepayment.
Oct 1	Make a bank loan of RM35,000 by issuing notes at 10% interest rate and 5 months maturity.
Nov 6	Make 10% of the estimated warranty on 750 units of goods sold at cost of RM80 each. The warranty is done in the form of either free repair or goods replace every year. The cost of repair is estimated at RM55 per unit.

Required:

- (i) Prepare the necessary journal entries to record the above transactions (description ignored). [9 marks]
- (ii) Prepare journal entries for 50 units of defect goods that has been returned by the customers during the accounting year if
a. 30 units are repaired
b. 20 units are replaced [3 marks]
- (iii) Based on the above transactions, prepare the necessary adjustment entries as at 31 December 2021 (description ignored). [3½ marks]

- (b) Syarikat Permai Indah Bhd is a company business ownership and was established on January 2020. The company provides the following information and transactions.

(a)	The beginning share capital year 2021. Common shares 1,000,000 @ RM1.00 per shares Preferences shares 1,000,000 unit at RM2.00 per shares												
(b)	Additional shares issued in the year 2021. Common shares 2,000,000 at RM1.50 per shares Preferences shares 500,000 at RM2.00 per shares												
(c)	Financial information on profit, dividend and retained earnings for year 2020. <table border="1"> <tr> <td>Beginning balance b/f for retained earning</td><td>RM3,560,000</td></tr> <tr> <td>Paid in capital:</td><td></td></tr> <tr> <td>Common Shares</td><td>RM1,000,000</td></tr> <tr> <td>Preferences Shares</td><td>RM2,000,000</td></tr> <tr> <td>Profit reported</td><td>RM1,400,000</td></tr> <tr> <td>Dividend declared and paid for Common Shares stockholders</td><td>RM900,000</td></tr> </table>	Beginning balance b/f for retained earning	RM3,560,000	Paid in capital:		Common Shares	RM1,000,000	Preferences Shares	RM2,000,000	Profit reported	RM1,400,000	Dividend declared and paid for Common Shares stockholders	RM900,000
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Profit reported	RM1,400,000												
Dividend declared and paid for Common Shares stockholders	RM900,000												
(d)	Cash dividends declared and paid during year 2021 RM1,200,000.												
(e)	Profit reported for the year 2021 RM1,700,000.												

Required:

Show the Statement of Changes in Equity for Syarikat Permai Indah Bhd as at 31st December 2021

[9½ marks]